

Oxford Cambridge and RSA – Practice Paper**AS Level Economics****H060/01 Microeconomics****Practice Paper 2 – Advanced**

Time allowed: 1 hour 30 minutes

INSTRUCTIONS

- Use black ink. You can use an HB pencil, but only for graphs and diagrams.
- Write your answer to each question in the space provided.
- Answer **all** the questions in Section A and B and **one** question in Section C.

INFORMATION

- The total mark for this paper is **60**.
- The marks for each question are shown in brackets [].
- Quality of extended response will be assessed in questions marked with an asterisk (*).

ADVICE

- Read each question carefully before you start your answer.

SECTION A

Write your answer to each question in the box provided.

1 Which of the following best describes a **negative consumption** externality?

- A Air pollution from a factory chimney
- B Hospital treatment costs caused by passive smoking
- C Increased pollination near a beekeeper's farm
- D Vaccination reducing disease in the wider community

Your answer [] **[1]**

2 A country's production possibility frontier shifts outwards.

- A An increase in unemployment in the labour force
- B Discovery of new oil reserves and adoption of new production technology
- C Movement from a point inside the curve to a point on the curve
- D Reallocation of resources from one good to another

Your answer [] **[1]**

3 Which of the following is a normative statement?

- A A rise in coffee prices is likely to reduce demand for coffee
- B Coffee prices in 2024 reached a 30-year high
- C Inflation in Brazil reduces the global supply of coffee beans
- D Wealthy countries ought to pay coffee farmers a higher price

Your answer [] **[1]**

4 Which is the best example of **joint supply**?

- A Bread and butter
- B Cars and petrol
- C Coffee and tea
- D Beef and leather

Your answer [] **[1]**

5 In the market for coffee, the equilibrium price has risen but the equilibrium quantity has remained unchanged.

- A Demand falls and supply falls by the same proportion
- B Demand rises and supply rises by the same proportion
- C Demand rises by less than supply falls
- D Demand rises by the same proportion as supply falls

Your answer [] **[1]**

6 Which is the most likely **benefit** of specialisation in international trade?

- A Countries become more self-sufficient
- B Domestic firms face less competition
- C Output and consumption can increase through comparative advantage
- D There is less interdependence between trading partners

Your answer [] **[1]**

7 A coffee shop chain raises the price of an espresso from £2.50 to £3.00. Quantity demanded falls from 1,000 to 750 cups per week.

- A PED = -0.8 ; total revenue rises
- B PED = -1.25 ; total revenue falls
- C PED = -1.25 ; total revenue rises
- D PED = -2.0 ; total revenue falls

Your answer [] [1]

8 The income elasticity of demand for a particular brand of instant coffee is estimated to be -0.4 .

- A A luxury good
- B A normal good with income-elastic demand
- C A normal good with income-inelastic demand
- D An inferior good

Your answer [] [1]

9 Which is a defining characteristic of a pure **public good**?

- A It is provided free of charge by a charity
- B It is non-excludable and non-rivalrous in consumption
- C It is produced only by the government
- D It produces no externalities

Your answer [] [1]

10 The government imposes a specific indirect tax on coffee. The price elasticity of demand for coffee is more inelastic than the price elasticity of supply.

- A Consumers bear a larger share of the tax burden than producers
- B Producers bear a larger share of the tax burden than consumers
- C The burden is shared equally between consumers and producers
- D The whole burden falls on the government

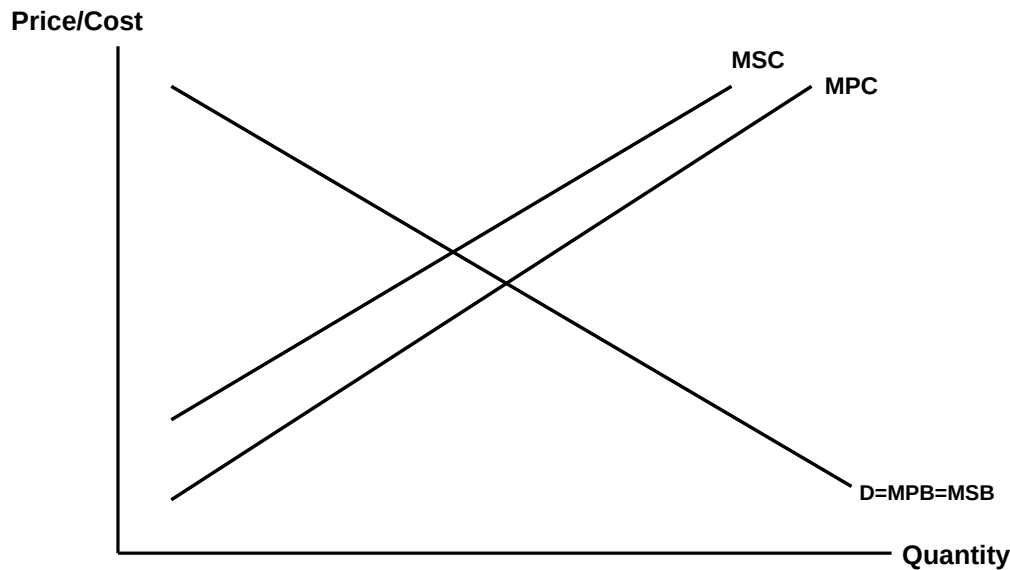
Your answer [] [1]

11 The European Union sets a minimum price for milk above the equilibrium price. Which is the most likely consequence?

- A Producers receive lower revenue per unit sold
- B There is excess demand in the milk market
- C There is excess supply (a surplus) in the milk market
- D Consumers benefit from lower prices

Your answer [] [1]

12 The diagram shows the market for a good which generates a negative production externality. The market is currently in private equilibrium.



- A The good is allocatively efficient at the free-market output
- B The social optimum output is greater than the free-market output
- C The welfare loss is equal to the gap between MPC and MSC at all output levels
- D There is over-production relative to the social optimum, creating a welfare loss

Your answer [] [1]

13 The price of cocoa rises from \$2,500 to \$3,250 per tonne. As a result, quantity supplied rises from 4 million to 4.4 million tonnes.

- A 0.30
- B 0.33
- C 1.50
- D 3.33

Your answer [] [1]

14 Which of the following is **not** a function of money?

- A Medium of exchange
- B Source of finance for investment
- C Store of value
- D Unit of account

Your answer [] [1]

15 In a mixed economy, which best describes how resources are allocated?

- A All decisions are made by central government planners
- B Both market forces and government intervention determine allocation
- C Only the price mechanism determines allocation
- D The household sector is the sole allocator of resources

Your answer [] [1]

SECTION B

The global coffee market

Coffee is one of the world's most heavily-traded agricultural commodities. Around 70% of global output is produced in just five countries: Brazil, Vietnam, Colombia, Indonesia and Ethiopia. Small-scale farmers, often working farms of less than two hectares, produce the majority of the world's beans, while a small number of large multinationals dominate the processing, roasting and retailing stages of the supply chain.

In 2024 the world price of arabica coffee beans rose to a 30-year high of approximately \$4.20 per pound. The principal causes were severe droughts and frost damage in Brazil – the world's largest producer – which reduced supply by an estimated 11% in a single year. At the same time, demand for high-quality 'specialty' coffee in Europe and North America has continued to grow as consumers increasingly trade up from instant to barista-style coffee.

Estimated elasticities for coffee in developed economies are: price elasticity of demand (PED) = -0.3 , income elasticity of demand (YED) = $+0.5$, and the cross elasticity of demand (XED) between coffee and tea = $+0.4$. Although coffee consumption itself has well-known private benefits, its production can generate **negative externalities** – notably deforestation, soil erosion and water pollution from pesticide use. Many large retailers have begun paying a 'Fair Trade' premium to participating farmers in order to address these issues, but Fair-Trade coffee still accounts for less than 10% of global trade.

Coffee retailers in the UK have responded to rising input costs in different ways. Some have raised retail prices, others have absorbed higher costs through reduced profit margins, and a number of independent shops have closed. Tea consumption, traditionally dominant in the UK, has been gradually displaced by coffee over the past two decades.

Fig. 1: Main reasons UK consumers gave for choosing their coffee shop (2023)

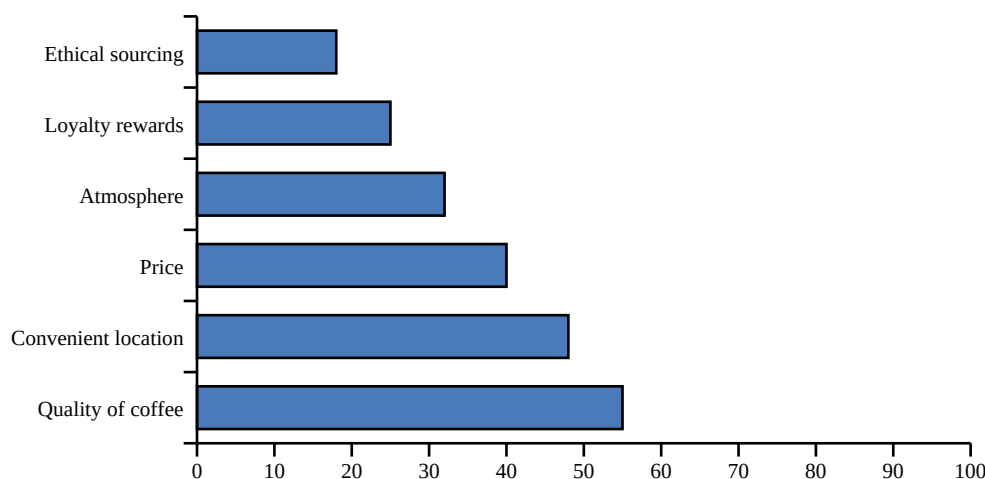
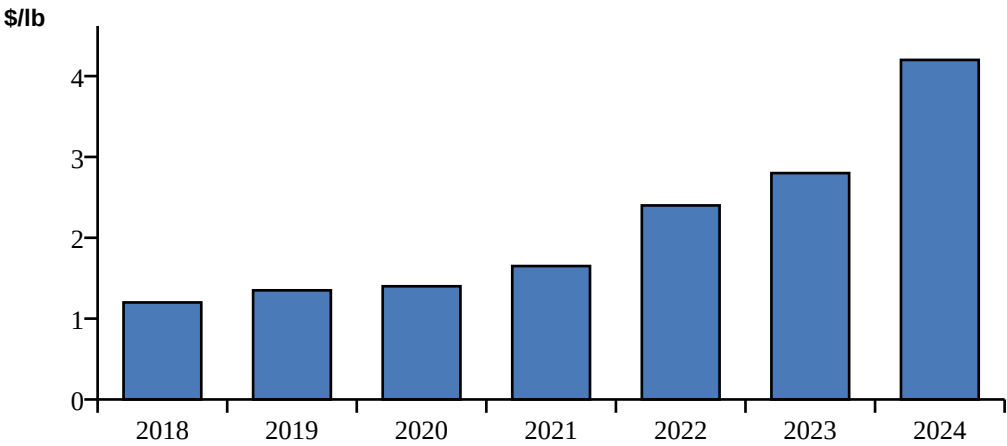


Fig. 2: World price of arabica coffee beans (\$ per pound)



16 (a) Using Fig. 1, state what percentage of UK consumers gave 'ethical sourcing' as the main reason for choosing their coffee shop.

[1]

(b) (i) Using Fig. 2, calculate the percentage increase in the world price of arabica coffee beans between 2018 and 2024.

[2]

(ii) Using the value of price elasticity of demand for coffee (line 13), explain how the 2024 price rise will affect total consumer expenditure on coffee.

[2]

(c) Using a demand and supply diagram, explain how the droughts in Brazil have affected the world market for coffee.

[illegible]

[4]

(d) (i) Using the value of cross elasticity of demand between coffee and tea (line 14), explain the relationship between these two goods.

[2]

(ii) Explain how the negative externalities associated with coffee production result in market failure.

[4]

(e)* Evaluate, using an appropriate diagram(s), the effects on coffee farmers of the rise in the world price of coffee.

[10]

[illegible]

SECTION C

Answer **Question 17** or **Question 18**.

17* Indirect taxes are often used to correct market failure arising from negative externalities. Evaluate, using an appropriate diagram(s), the effectiveness of indirect taxes in correcting market failure. **[20]**

OR

18* Evaluate, using an appropriate diagram(s), the effectiveness of buffer-stock schemes in stabilising the incomes of farmers producing primary commodities such as coffee. **[20]**

Question No. _____

[illegible]

[illegible]

[illegible]

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